

FINANCIAL INTELLIGENCE COMPLIANCE DIVISION

SUSPICIOUS TRANSACTION REPORT (STR)

CONFIDENTIAL · REGULATORY SUBMISSION DRAFT

Subject Customer ID:	CUS-1004	Report Generated:	2026-09-01 17:03:45 UTC
Subject Name:	Amit Verma	Adjudication:	■ DRAFT REGULATOR-READY STR (High Risk / Suspicious Pattern Confirmed)
Regulatory Framework:	FIU-IND / FATF PMLA Guidelines	Filing Priority:	High Priority Escalate

SUSPICIOUS TRANSACTION REPORT (STR)

1. REPORT METADATA

***Subject ID:** CUS-1004

***Subject Name:** Amit Verma

***Filing Classification:** High Priority Suspicious Activity Filing

***Filing Date:** March 3, 2026

***Reporting Institution:** Apex Global Bank (Compliance & Financial Crime Unit)

***Target Authority:** Financial Intelligence Unit (FIU-IND / FinCEN / FATF-aligned authorities)

***Core Typology:** Structuring (Smurfing) / Layering & Pass-Throughs (Compound Match)

2. EXECUTIVE SUMMARY

This Suspicious Transaction Report (STR) is filed regarding highly anomalous, structured cash deposits and subsequent rapid international expatriation of funds executed by customer Amit Verma (CUS-1004). Over a 32-hour window, the subject deposited \$28,700.00 in physical cash via three sub-threshold transactions designed to evade Currency Transaction Report (CTR) requirements, followed by an immediate \$19,000.00 outbound SWIFT transfer to an offshore entity. The activity is entirely incompatible with the subject's declared profile as a student with a monthly income of \$1,200.00, indicating a classic money mule or placement/layering scheme.

3. SUBJECT & KYC CONTEXT

***Onboarded Occupation:** Student

***Declared Monthly Income:** \$1,200.00 USD

***Stated Account Purpose:** Education Expenses

***Account Age:** 2 Months (Opened January 2026)

***KYC Plausibility Discrepancy:**

The physical cash deposits totaling **\$28,700.00** within a 24-hour window represent approximately **24 months (2 years)** of the customer's total gross declared income**.

***Account Purpose Deviation:**

Legitimate educational funding typically manifests as inbound domestic/international wire transfers from parents, guardians, or educational loan providers, followed by direct payments to academic institutions or retail living expenses. In contrast, this account received large, structured physical cash deposits at a branch counter, which were immediately expatriated to an offshore entity. There are zero transactions relating to tuition, books, housing, or student living costs.

***Historical Precedent Analysis:**

The customer has a clean historical precedent with no prior AML alerts or regulatory investigations. However, because the account is only 2 months old and has no established baseline of legitimate activity (0% routine transactions), the "clean" history is not a mitigating factor. Instead, it indicates a classic **New Account Fraud / Money Mule** onboarding pattern, where an account is kept dormant or quiet for a very

short period before being weaponized for high-velocity placement and layering.

4. CHRONOLOGY OF SUSPICIOUS TRANSACTIONS

Transaction Date & Time	Transaction Type	Amount (USD)	Direction	Channel	Flagged Reason / Description
2026-03-01 10:05	Cash Deposit	+\$9,500.00	Inflow	Branch Counter	Structured deposit at 95% of the \$10,000 CTR threshold. Disproportionate to the client's established profile and monthly income baseline.
2026-03-01 15:20	Cash Deposit	+\$9,800.00	Inflow	Branch Counter	High-velocity structuring. Executed at a branch counter just over five hours after the first deposit, bringing the cumulative daily cash total to \$19,300.00 without triggering an automated CTR at the point of transaction.
2026-03-02 09:40	Cash Deposit	+\$9,400.00	Inflow	Branch Counter	Consecutive-day structuring. This third deposit brings the 24-hour cumulative cash placement to \$28,700.00, deliberately split into three sub-threshold transactions to avoid regulatory scrutiny.
2026-03-02 17:55	SWIFT Outgoing Transfer	-\$19,000.00	Outflow	Digital/SWIFT	Rapid fund integration and offshore exposure. Approximately 66% of the structured cash was layered out of the institution to an offshore entity within 8 hours of the final cash deposit, leaving minimal trailing balance and indicating a high-risk "funnel" pattern.

Summary Metrics:

- * **Total Cash Inflows (Placement):** \$28,700.00 USD
- * **Total Wire Outflows (Layering):** \$19,000.00 USD
- * **Remaining Account Balance:** \$9,700.00 USD
- * **Velocity Window:** 31 hours and 50 minutes (from initial deposit to outbound wire)
- * **Routine-to-Anomalous Ratio:** 0:100 (Routine Baseline: \$0.00 / Anomalous Volume: \$47,700.00)

5. TYPOLOGY & REGULATORY GUIDELINES ANALYSIS

The observed transactional behavior maps directly to established international money laundering typologies and regulatory guidelines:

- * **Primary Matched Typology:** Structuring (Smurfing) / Layering & Pass-Throughs (Compound Match)
- * **Regulatory Basis:**
 - * **FATF Recommendation 10 (Customer Due Diligence) & Recommendation 20 (Reporting of Suspicious Transactions):** The institution is required to report transactions when it suspects or has reasonable grounds to suspect that funds are the proceeds of a criminal activity or are related to money laundering.
 - * **FIU-IND Guidelines / Prevention of Money Laundering Act (PMLA, 2002):** Direct alignment with guidelines regarding the identification of suspicious cash transaction thresholds and the deliberate evasion of Currency Transaction Reports (CTRs).
- * **Typology Mechanics:

- 1. Structuring (CTR Avoidance):** The transaction amounts (\$9,500, \$9,800, and \$9,400) demonstrate a highly calculated pattern of staying within the \$9,000–\$9,999 band to bypass automated CTR generation.
- 2. Layering via Pass-Through Conduit:** The account was utilized strictly as a conduit. Cash was integrated and immediately converted into an international wire, minimizing the "holding time" of the physical cash within the domestic financial system.
- 3. High-Risk Jurisdiction Exposure:** The destination of the outbound wire is an offshore entity, which significantly increases the risk of capital flight to a secrecy jurisdiction, severely hindering asset recovery and beneficial ownership identification.

6. FALSE-POSITIVE VS TRUE-POSITIVE EVALUATION

This case has been adjudicated as a definitive **True Positive** for money laundering based on the following objective, technical factors:

* **Deliberate Structuring Patterns:** Splitting \$28,700.00 into three separate deposits at a branch counter over a 24-hour window serves no logical administrative or business purpose other than to evade automated regulatory reporting.

* **Absence of Legitimate Co-mingling:** A typical false positive (e.g., a student receiving legitimate family assistance) would show co-mingled retail activity, such as grocery purchases, transport, utility bills, or localized ATM withdrawals. Here, the routine-to-anomalous ratio is **0:100**, proving the account has no legitimate domestic utility.

* **Conduit Dynamics:** The rapid integration and immediate flight of capital (66% drained within 8 hours of the final cash placement) minimize the "holding time" of the funds, a core characteristic of illicit layering.

* **Profile Incompatibility:** The physical cash deposits represent approximately 24 months of the customer's total gross declared income. There are zero transactions relating to tuition, books, housing, or student living costs.

7. COMPLIANCE OFFICER CONCLUSION & RECOMMENDED ACTIONS

* **Risk Score:** **95/100** (Critical Risk)

* **Confidence Level:** **High**

* **Final Adjudication:** **True Positive - File STR**

Recommended Actions:

- Immediate Administrative Freeze:** Place an immediate administrative freeze on the remaining balance of **\$9,700.00** to prevent further capital flight.
- Account Restriction:** Restrict the account from further counter deposits, digital access, or outbound transfers.
- Regulatory Filing:** Submit this Suspicious Transaction Report (STR) immediately to the Financial Intelligence Unit (FIU-IND / FinCEN).
- Relationship Termination:** Initiate an exit of the customer relationship pending regulatory clearance and the expiration of any mandatory "no-action" holding periods.
- Law Enforcement Escalation:** Refer the case details to local law enforcement authorities specializing in financial crimes, as the pattern strongly indicates active participation in a money mule network.

Submitted by:

Compliance Officer

Apex Global Bank AML Compliance Department